Part C: Recommendations – Zara Capstone

Business Analyst, Global Retail Analytics | Problem Statements 1 (Excel), 2 (SQL) and 3 (Power BI)

How to read this. Each recommendation states the evidence from Part B, the metric it moves and how we will know it worked. All money is in USD (1 EUR = 1.08, 1 GBP = 1.27, 1 CNY = 0.14), returns are netted out, and 2025 is only compared with the same dates in 2024. Margin estimates assume the same units sell after the change, so they are upper bounds to be confirmed by a pilot.

Problem Statement 1 (Excel): Store performance and workforce productivity

For: Head of Store Operations. **North Star:** net sales per employee per month ($2,779 in 2024).

What Part B showed. Sales per employee run from $121,111 (Fifth Avenue) to $40,137 (Zeil), and the gap is about how many customers each employee serves (1,857 invoices per employee at Fifth Avenue vs 495 at Zeil), not basket size. Saturday carries 22–29% of a week's sales and December is about twice February. Headcount follows sales overall (correlation 0.89), but seven stores carry 13–19 more staff than their sales support, while the busiest flagships run 16–34 short. German stores return 15.5% of sales against 10.9% overall, and the spread between associates inside a store is narrow (9–25%), so the store matters more than the person.

Three recommendations

#	Recommendation	Evidence (Part B)	Input metric it moves	Impact / Effort
R1	Move staff hours to the busy days: Friday and Saturday everywhere, Sunday in China and the US. Build up staff for December; use February and August for leave and training.	Saturday 22–29% of sales; Friday + Saturday 36–48%; December ≈ 2× February	Invoices per employee (and units per invoice at peak)	High / Low
R2	Rebalance headcount. Do not replace leavers in Zeil (+19), Mönckebergstraße (+17), Kaufingerstraße (+15), Kurfürstendamm (+15), Buchanan Street (+14), Braga (+14) and Coimbra (+13). Add floor staff in stages at Fifth Avenue (−34), 南京西路 (−20), Oxford Street (−19), Champs-Élysées (−17) and Chiado (−16).	Staff gap vs the company average of $72,496 per employee; stretched flagships sell only 1.5 units per invoice vs about 2.1 elsewhere	Headcount, and so sales per employee	High / High
R3	Find out why German returns are high, starting with Zeil and Schildergasse (17.7%): fit, sizing and returns policy by category.	Germany 15.5% vs 10.9% overall; bringing it to the company rate would keep about $0.85M of returned sales over the period	Return rate	Lower / Low

	Low effort	High effort
High impact	**R1. Move staff hours (do first)**	**R2. Rebalance headcount (plan next)**
Lower impact	**R3. German returns (quick check)**	–

Limit. The data has no opening hours, footfall or floor size, so R1 and R2 should be piloted in a few stores before they roll out. Success = net sales per employee per month above $2,779 in the pilot stores with no fall in units per invoice.

Weekly Store Scorecard: user stories

Story	As a … I want … so that …	Acceptance criteria (Given / When / Then)
SC-1	As a store manager, I want my net sales, invoices, average basket, units per invoice and return rate every Monday, compared with last week and the same week last year, so that I can see quickly whether my store is improving.	Given the week ended on Sunday, when the scorecard arrives on Monday, then it shows the five numbers in USD for my store only, each with its change vs last week and the same week last year; 2025 weeks compare only with the same weeks of 2024.
SC-2	As a store manager, I want sales and invoices by day next to the staff on shift, so that I can move hours to my busiest days.	Given last week's sales and rota, when I open the day view, then I see Monday to Sunday with invoices per staff member; days more than 25% above my weekly average are marked red; closed days show "Closed", not zero.
SC-3	As a store manager, I want my sales per employee, staff gap and return rate next to my country and the company, so that I can explain staffing and returns at the regional review.	Given the period's company averages, when I open the comparison, then I see my expected headcount, staff gap, return rate and rank in my country; a return rate more than 5 points above the company rate is marked red.

Dependency: SC-2 needs daily staff rotas from HR, which are not in the current dataset.

Problem Statement 2 (SQL): Pricing, promotions and margin

For: Head of Merchandising. **Goal:** profitable growth (gross margin 56.5% overall; 86.6% of net sales at full price).

What Part B showed. Margin falls with every step of depth and turns negative at 70% off. Kids loses margin fastest because it starts lower. Coats and jackets, knitwear, kids shoes and girls' wear end up on markdown most often (26–29% of units), and $13.1M of full-price value was given away as discount over the period. Black Friday 2024 nearly doubled US/UK margin in its own four days, but US/UK full-price sales in the following two weeks fell 6.7% while the other countries grew 4.3%.

1. Discount policy by category

Category	Gross margin % at each depth (full / 30 / 40 / 50 / 70)	Maximum depth	How often	Rarely or never discount
Woman	61.2 / 43.5 / 34.1 / 20.8 / –	50%	Winter and Summer Sales only, phases 1–2	Perfumes (never, 75% margin), jeans, blazers
Man	60.5 / 43.5 / 32.7 / 19.0 / −37.0	50% (stop the 70% phase)	Winter and Summer Sales only, phases 1–2	Perfumes (never), jeans, shirts
Kids	55.2 / 36.5 / 25.4 / 10.7 / −48.9	40%	Winter and Summer Sales only; 50% only to clear end-of-season stock	–

Margin protected. The 70% lines (Man and Kids only) lost $247K of margin over the period; sold at 50% they would have earned $157K, a swing of about $404K (≈ $183K a year). Capping Kids at 40% instead of 50% lifts that margin from $43K to $124K (≈ $37K a year). Together ≈ $220K a year if the same units sell.

2. Black Friday and the early Winter Sale (US and UK)

Window (US + UK)	2023	2024	What it means
Black Friday, 29 Nov – 2 Dec	Net $263K, margin $160K (60.9%)	Net $640K, margin $324K (50.6%)	The event itself added about $164K of margin
Full price, 3 – 19 Dec	Net $981K	Net $915K (−6.7%); other countries +4.3%	Demand was pulled forward from early December
Early Winter Sale, 20 – 25 Dec	Net $365K, margin $223K (60.9%)	Net $542K, margin $265K (48.9%)	More sales, but at a 12-point lower margin, a week before everyone else
Nov – Jan overall	Net $4.74M, margin $2.60M	Net $5.46M (+15.1%), margin $2.87M (+10.6%)	Margin grew no faster than US/UK's underlying 2024 growth (+11.1%)

Recommendation. Keep Black Friday as a short 30% event, but limit it to the overbought collections so it clears stock instead of discounting jeans and shirts that sell at full price. Move the US/UK Winter Sale back to 26 December: starting on 20 December added sales at a 12-point lower margin and did not lift Nov–Jan margin above trend. Measure success by US/UK full-price sales in 3–24 December growing in line with the other countries.

3. Overbought collections

Sub-category	Units sold on	Change	Margin protected (estimate)

	markdown		
Coats and jackets (Man)	29.1%	Buy about 10% fewer units next season; no 70% phase	These four gave away $3.58M of discount over the period (≈ $1.6M a year). Bringing their markdown share down to the company average of 19.6% would avoid roughly a third of it (≈ $0.5M a year), plus the $204K lost at 70%.
Knitwear and sweatshirts (Man)	28.5%	Buy about 10% fewer units; move part of the range to earlier drops	
Kids shoes	27.1%	Buy fewer sizes at the extremes; cap at 40%	
Girls (Kids)	26.1%	Buy fewer units; cap at 40%	

RICE prioritisation

Reach = sale lines (or units) affected per year; Impact 3 = massive, 2 = high, 1 = medium; Confidence = how sure the evidence is; Effort = person-weeks. Score = R × I × C ÷ E.

Recommendation	Reach / year	Impact	Confidence	Effort	RICE score	Priority
Cap depth: no 70% phase; Kids max 40%	36,337 lines	2	60%	2	21,800	1
Keep Black Friday (overbought lines only); US/UK Winter Sale back to 26 Dec	30,632 lines	1	50%	1	15,300	2
Buy less of the four overbought collections	57,182 units	2	50%	8	7,100	3

Confidence is below 100% because the data has no stock levels and only one year of Black Friday; the buying change also takes a full season to show.

Problem Statement 3 (Power BI): Customer and sales performance

For: Chief Commercial Officer. **North Star:** repeat customers per quarter (2024: 63,207 / 70,011 / 73,279 / 84,120; average 72,654).

What Part B showed. 51% of customers bought only once. 28.7% of first-time customers buy again within 90 days: 30.7% if they first paid full price, but only 21.7% if they first bought on markdown. Sale-season first-timers also spend less ($163 vs $262) and keep buying on discount (22% of later spend vs 9%). Customers who come back within 90 days spend $363 on average against $124 for those who do not. The top 20% of customers bring 60.8% of revenue.

1. Retention plan for first-time customers

Item	Plan
Target segment	Sale-season first-timers: customers whose first basket included a marked-down item (64,319 in 2024, 26.9% of all new customers).
Offer	14 days after the first purchase, a voucher valid for 60 days on full-price new arrivals only, so the return visit is at full price, not in the next sale.
Second wave	All other first-timers get a 30-day "complete the look" email based on the sub-category they first bought (no discount).
Expected lift	Sale-season first-timers: 90-day repeat from 21.7% to 24.7% (+3 points ≈ 1,930 more repeat customers a year). Other first-timers: +2 points (≈ 3,500 more). Together ≈ 5,400 a year.
Effect on the North Star	About +1,350 repeat customers per quarter, +1.9% on the 2024 average. Each converted customer is worth about $239 more over the period ($363 vs $124), so ≈ $1.3M extra if the lift holds.
How we will know	The A/B test from Part A: 50/50 split, 90-day repeat rate as the primary metric, margin, markdown share and return rate as guardrails, about 17 weeks.

2. Countries and segments to prioritise next year

Country	Net sales 2024	Active customers 2024	Revenue per customer	90-day repeat	Priority and action
United States	+14.9%	+33.4%	$162	30.5%	**Grow.** Fastest on every measure; add store staff and stock (links to Problem 1, R2).
United Kingdom	+6.3%	+26.0%	$146	29.4%	**Grow basket.** Many new customers but low spend: bundles and complete-the-look.
Portugal	+2.8% (+9.9% early 2025)	+20.1%	$171	29.1%	**Grow.** Momentum in 2025 with good spend per customer.
Spain	+2.3%	+18.8%	$161	27.2%	**Retain.** Home market with the lowest repeat rate: first market for the retention plan.
China	−12.4%	+5.0%	$190 (was $228)	28.1%	**Fix spend.** Customers are not leaving; each spends 17% less. Review range and pricing.
Germany	−3.5%	+12.3%	$157	27.8%	**Fix returns** (15.5%; Problem 1, R3).
France	+0.3%	+18.3%	$144	28.8%	**Hold.** Lowest spend per customer; no new investment.

Segments. Protect **Champions** (the top RFM segment; the top 20% of customers make 60.8% of revenue) with early access rather than discounts. Win back **At Risk** customers, who used to buy about four times ($345 each) but have not returned for over a year. Convert **New / Promising** customers, who bought recently but only once or twice, through the retention plan above. Segment sizes follow your RFM table on dashboard page 4.

3. Link to AARRR and the North Star

Recommendation	AARRR stage	How it moves repeat customers per quarter
Full-price voucher for sale-season first-timers	Activation / Retention	Turns about 1,930 one-time buyers a year into repeat customers
"Complete the look" email for other first-timers	Retention	About 3,500 more repeat customers a year
Grow the US and Portugal; fix spend in China	Acquisition / Revenue	More first-time customers in the fastest markets feed next year's repeat base
Win back At Risk customers	Retention	Returning lapsed buyers count as repeat customers in the quarter they come back
Early access for Champions instead of discounts	Revenue / Retention	Keeps the 60.8% revenue core buying at full price

Limit. All lifts are estimates until the A/B test runs; the data is simulated for teaching and does not represent Zara's actual results.